

FORM TP 2018272



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MAY/JUNE 2018

**CARIBBEAN EXAMINATIONS COUNCIL**  
**CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®**

**MANAGEMENT OF BUSINESS**

**UNIT 1 – Paper 02**

*2 hours 30 minutes*

**READ THE FOLLOWING INSTRUCTIONS CAREFULLY.**

1. This paper consists of THREE questions. Answer ALL questions.
2. Write your answers in the spaces provided in this booklet.
3. You may use a silent, non-programmable calculator to answer questions.
4. Do NOT write in the margins.
5. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra lined page(s) provided at the back of this booklet. **Remember to draw a line through your original answer.**
6. **If you use the extra page(s) you MUST write the question number clearly in the box provided at the top of the extra page(s) and, where relevant, include the question part beside the answer.**

**DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.**



**MODULE 1: BUSINESS AND ITS ENVIRONMENT**

1. The government of PanJam Island is shifting its focus on economic activity from the primary industry to the secondary industry, in order to boost economic growth and development.

- (a) Outline ONE way in which EACH of the following types of industries is important to the country's economic development thrust.

- (i) Primary industries

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[2 marks]

- (ii) Secondary industries

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[2 marks]

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- Explain THREE ways in which the privatization of the banana chips business could benefit the economic development of PamJam.

9 mcs.

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12 rules

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## MODULE 2: MANAGEMENT OF PEOPLE

2. Starlight Hotel, a 300-room hotel in the Caribbean island of Montego, has been acquired by Resorts Culture Ltd. Some of Starlight's workers were rehired by Resorts Culture. The job descriptions and reporting relationships of the new company are very different from those of Starlight's. Some workers report to three different supervisors and some supervisors are responsible for approximately 180 persons. When things go wrong, only the workers get blamed and the supervisors are not held responsible.

(a) Define EACH of the following terms:

(i) Change management

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[2 marks]

(ii) Job description

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[2 marks]

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- Discuss THREE ways in which Resorts Culture Ltd can use its compensation system to help improve the profitability of the business.

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**MODULE 3: BUSINESS FINANCE AND ACCOUNTING**

3. John Bogue and his wife, Joan, operate Basket and Things in the Caribbean island of MacArthur. The business produces a wide variety of straw and coconut-based products. Sales have been increasing steadily over the past 12 months as both locals and tourists like the straw and coconut-based products. John and Joan want to expand the production capacity of the business to capitalize on the increasing popularity of the products. They apply to a local commercial bank for a loan. The loans officer at the bank requests a proposed debt-to-equity ratio for the business for the proposed expansion as well as a monthly cash budget for the next 12 months.

(a) Define EACH of the following terms:

(i) Debt-to-equity ratio

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[2 marks]

(ii) Cash budget

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[2 marks]

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